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Monthly Report of Prospects for Japan's Economy

August 2026

Macro-economics Research Center
Economics Department

The Japan Research Institute, Limited

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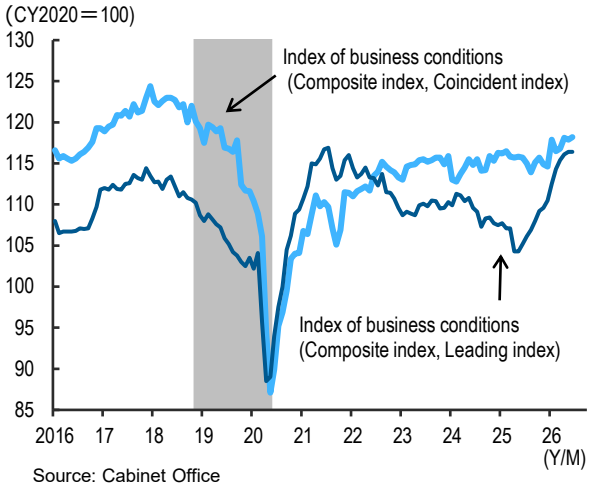
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The General Situation – The economy is gradually recovering, though activity has stalled in some areas

Figure 1-1 Economic Activity

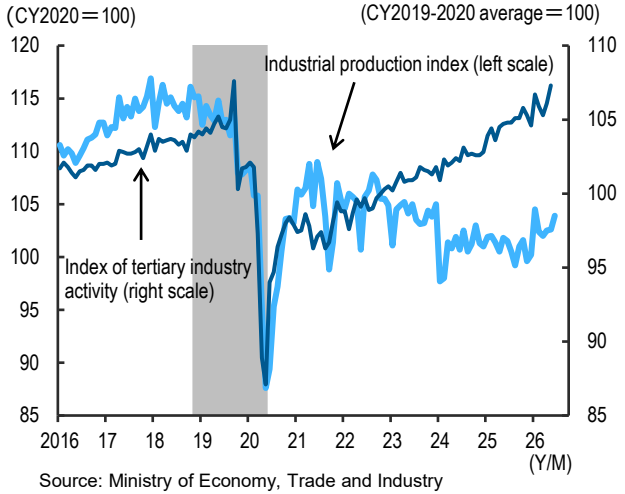
The coincident index of business conditions is picking up.
The leading index is improving.



Source: Cabinet Office

Figure 1-2 The Corporate Sector

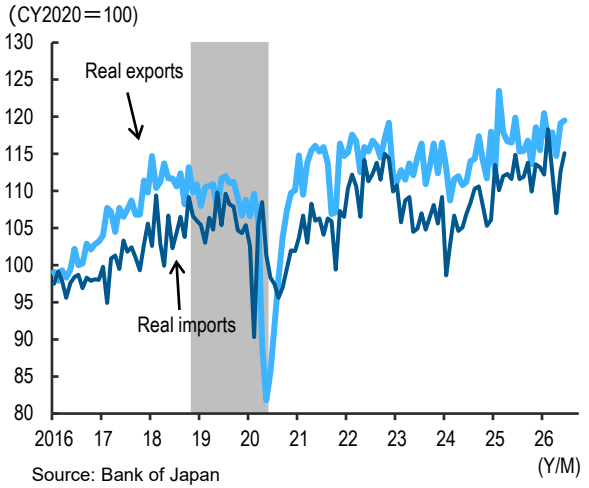
Industrial production is picking up.
Economic activity in the service sector is firm.



Source: Ministry of Economy, Trade and Industry

Figure 1-3 External Demand

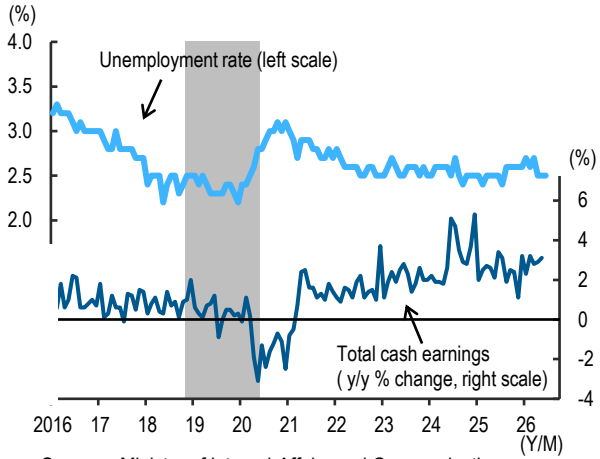
Exports are fluctuating.
Imports are flat overall.



Source: Bank of Japan

Figure 1-4 Employment and Income

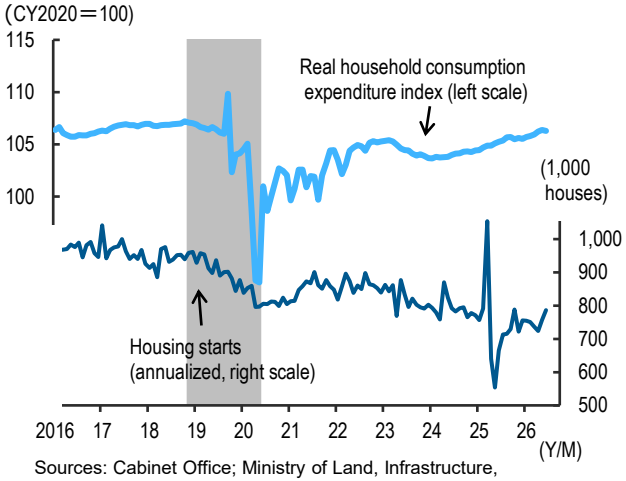
The unemployment rate is low, hovering around 2.5%.
Nominal wage growth is solid on average.



Sources: Ministry of Internal Affairs and Communications;
Ministry of Health, Labor and Welfare

Figure 1-5 The Household Sector

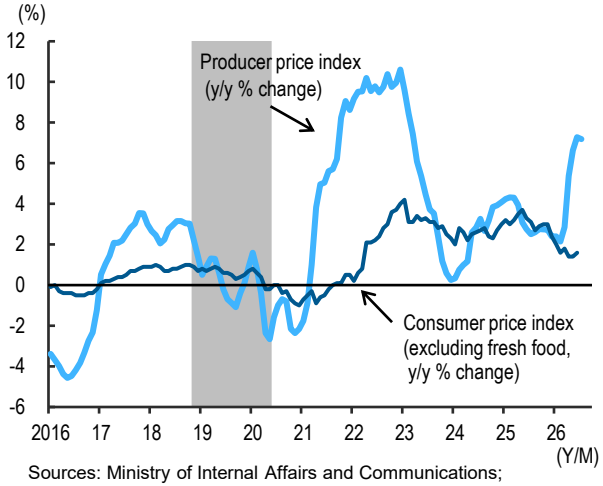
Consumption continues to gradually recover.
Housing starts are weak.



Sources: Cabinet Office; Ministry of Land, Infrastructure,
Transport and Tourism

Figure 1-6 Prices

Producer price inflation is accelerating.
Consumer prices are slowing.



Sources: Ministry of Internal Affairs and Communications;
Bank of Japan

＊ The shaded area represents the period during which the Japanese economy was in recession.

Annualized real GDP growth was +1.1% quarter over quarter (QoQ) in Q2 2026

◆ The economy remains on the recovery track despite weakness in some areas

Annualized real GDP growth in the second quarter was +1.1% QoQ, with growth staying in positive territory for three straight quarters. Although personal consumption exhibited weakness and capital investment declined, overall growth was lifted by foreign demand. Exports, particularly of services, increased, and the drop in imports of Middle Eastern crude oil also helped foreign demand turn positive.

◆ Housing starts are weak

Housing starts surged 18.6% YoY in June. They have continued to rise on a YoY basis, but the jump was mainly due to a rebound from the slump in the same month of the previous year. The recovery in the number of starts is actually moderate, reflecting higher interest rates and soaring construction costs.

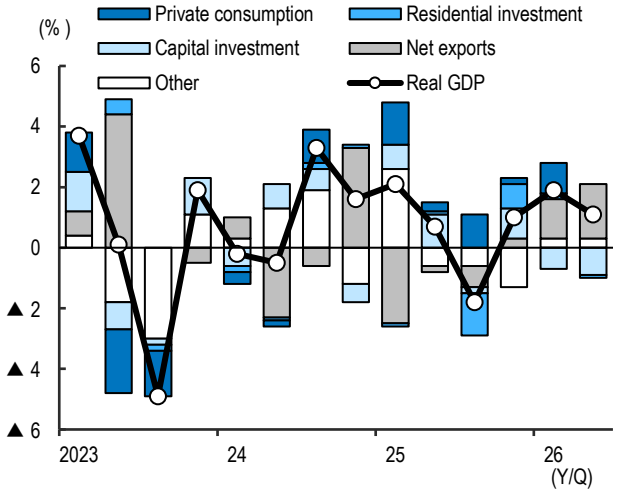
◆ Earthquake impact will need to be watched

Damage from the earthquake that occurred in Kumamoto Prefecture at the end of July is weighing on economic activity in the affected areas. Although moves toward recovery can be seen, with many companies having already resumed operations, the impact could become prolonged in the following scenarios:

The first is if damage to capital stock such as factories and roads has been severe. Some companies have sustained damage to production facilities, making an early resumption of operations difficult in some cases.

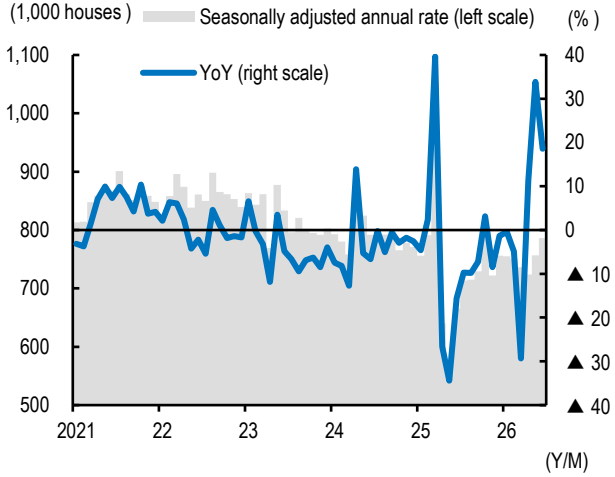
The second is if a downturn in tourism demand occurs. According to some media reports, there has been an uptick in cancellations of accommodation reservations in Kumamoto Prefecture and neighboring prefectures since the earthquake. After the 2016 Kumamoto earthquake, the decline in travel demand from Japanese visitors was short lived, but lower demand from foreign tourists persisted for a long period.

Figure 2-1 Real GDP Growth Rate
<QoQ % change, annualized>



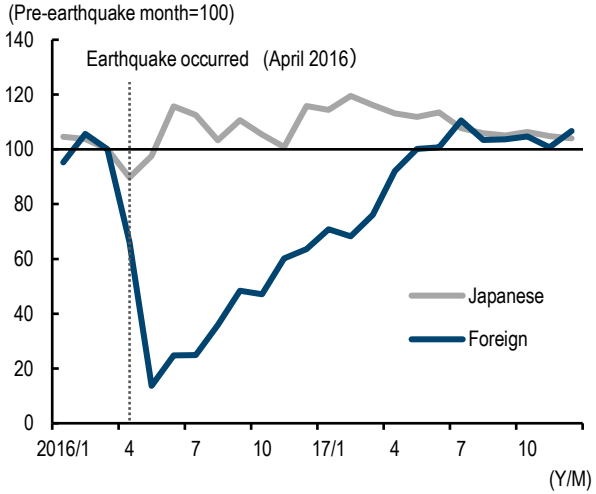
Source: Japan Research Institute, Ltd. based on data from the Cabinet Office

Figure 2-2 Housing Starts



Source: Japan Research Institute, Ltd. based on data from the Ministry of Land, Infrastructure, Transport and Tourism

Figure 2-3 Number of Overnight Stays in Kumamoto Prefecture <seasonally adjusted>



Source: Japan Research Institute, Ltd. based on data from the Ministry of Land, Infrastructure, Transport and Tourism

Exports and inbound demand remain solid despite weakness in some areas

◆ Goods exports are on the verge of picking up

Goods exports are treading water. A sharp rise in memory chip prices is among factors pushing up export prices, resulting in record high levels of exports in value terms recently. On the other hand, the increase in volume terms is limited. One possible reason is that Japan's export competitiveness has declined in fields such as semiconductors, where global demand is growing.

Looking ahead, exports are expected to pick up. Capital investment by chipmakers is expanding worldwide, and this should lift exports of semiconductor manufacturing equipment, an area in which Japan has strength. However, continued caution is needed regarding the effects of prolonged turmoil in the Middle East. A global slowdown due to elevated crude oil prices could weigh on exports.

◆ Reluctance to visit among Chinese travelers is weighing on demand for travel to Japan

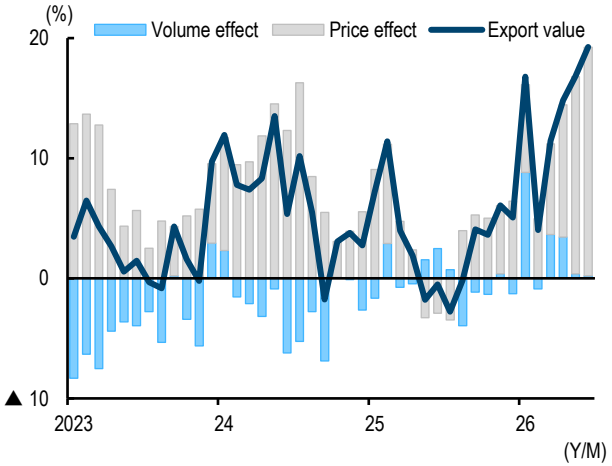
Inbound demand is currently soft. The Chinese government's advisory urging its citizens to refrain from traveling to Japan is having an adverse impact. The number of Chinese visitors to Japan has fallen to about half the level prior to the advisory. Meanwhile, the number of tourists from countries other than China remains firm.

Inbound demand is expected to stay robust going forward. Continued increases in tourists from countries other than China will remain a supporting factor. The expectation that the yen will remain weak will also act to push up inbound consumption. However, there are two downside risks going forward:

The first is that the Chinese government keeps the advisory in place for a prolonged period. When China banned group travel to South Korea in 2017, tourist numbers stayed low for two to three years.

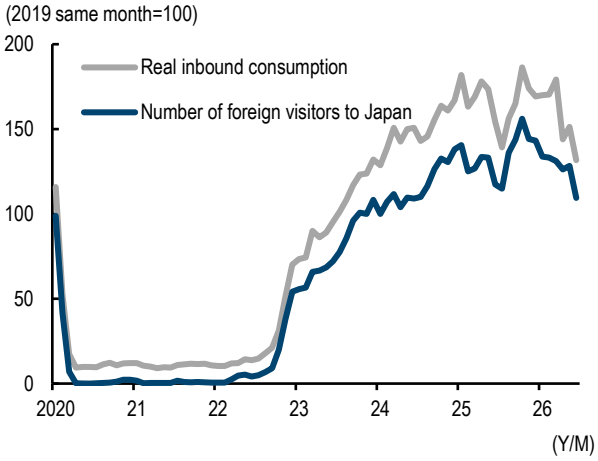
The second is the impact of higher crude oil prices. Major airlines have embarked on phased increases in fuel surcharges, which could weigh on inbound demand during the summer.

Figure 3-1 Export Value Index (YoY)



Source: Japan Research Institute, Ltd. based on data from the Ministry of Finance

Figure 3-2 Number of Foreign Visitors to Japan and Real Inbound Consumption



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications and the Japan National Tourism Organization

Note: Real inbound consumption is calculated by deflating travel receipts in the balance of services using the Consumer Price Index (all items less imputed rent).

Figure 3-3 Changes in the Number of Chinese Visitors to Japan <seasonally adjusted>



Source: Japan Research Institute, Ltd. based on data from CEIC and the Japan National Tourism Organization

Note: February 2017, when the ban on group tours to South Korea was imposed following the deployment of THAAD, and October 2025, when the travel advisory against visiting Japan was issued, are each indexed to 100 in the month prior to the introduction of the restrictions.

Personal consumption is gradually recovering thanks to a favorable income environment

◆ Higher disposable incomes are supporting personal consumption

Personal consumption continues to gradually recover. While consumption of non-durable goods remains weak, services consumption is firm, particularly in amusement-related services. In addition, consumption of durable goods has increased significantly. Temporary factors such as the abolition of the environmental performance tax on automobiles (since April 2026) and the tightening of energy-efficiency standards for air conditioners (effective April 2027) have also contributed to this rise.

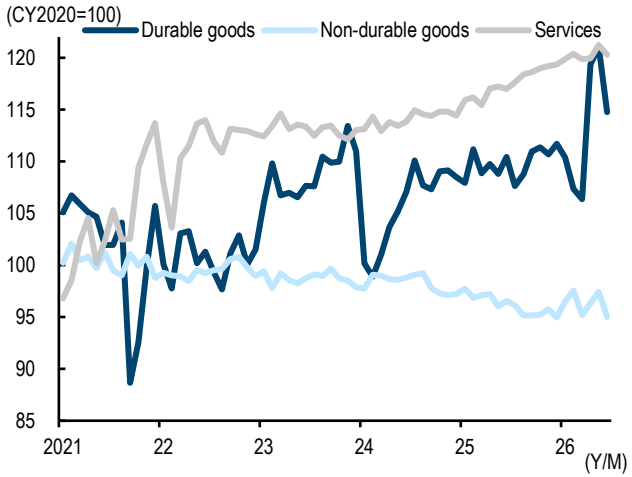
A favorable income environment can also be pointed to as a background factor behind the recovery in personal consumption. YoY real disposable income growth has generally been positive since mid-2024, and the pace of increase has recently accelerated. Employee remuneration is rising, partly as a result of agreements made during the shunto (spring wage negotiations), and net asset income is also increasing at a faster clip as companies hike dividends in line with stock price rises.

◆ Stock price developments could be a source of concern for personal consumption

Personal consumption is expected to continue its gradual recovery going forward. In addition to the favorable income environment and government policy measures to curb price increases, a recovery in consumer confidence driven by easing tensions in the Middle East will also provide a tailwind. Recently, the Consumer Confidence Index has been showing signs of bottoming out.

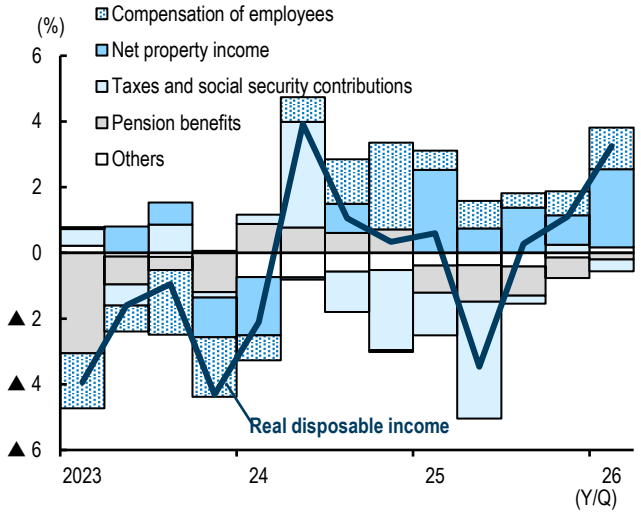
However, a reverse wealth effect stemming from falling stock prices is a potential cause for concern. The Nikkei Stock Average, which reached a new high in June, has been struggling to push higher since the start of July. Estimates suggest the wealth effect is concentrated among elderly households, but in recent years working-age households have also increased their holdings of equity-related assets, and the positive wealth effect for them may have supported consumption to some extent. For this reason, if stock prices were to fall significantly, there is a danger of downward pressure on consumption across a wide range of households.

Figure 4-1 Real Consumption Activity Index <seasonally adjusted>



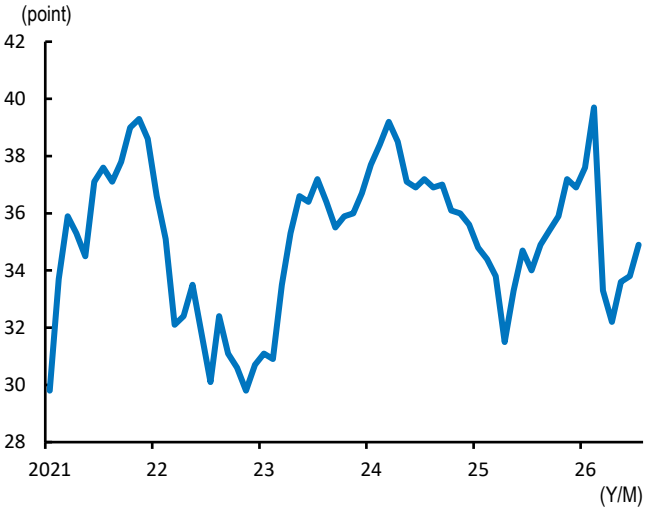
Source: Japan Research Institute, Ltd. based on data from the Bank of Japan

Figure 4-2 Households' Real Disposable Income <YoY>



Source: Japan Research Institute, Ltd. based on data from the Cabinet Office
Note: Real disposable income is calculated by deflating the nominal original series using the household final consumption expenditure deflator.

Figure 4-3 Consumer Confidence Index <seasonally adjusted>



Source: Japan Research Institute, Ltd. based on data from the Cabinet Office
Note: Households with two or more members.

Weakness in the manufacturing sector is rippling across the labor market

◆ The unemployment rate has settled in the mid-2% range

While the employment situation is generally favorable, weakness can be seen in some areas. The unemployment rate has remained in the mid-2% range since 2022. The number of employed persons in non-manufacturing, where business conditions are favorable, is holding firm, while in manufacturing the number remains at a level below that seen before the COVID-19 pandemic.

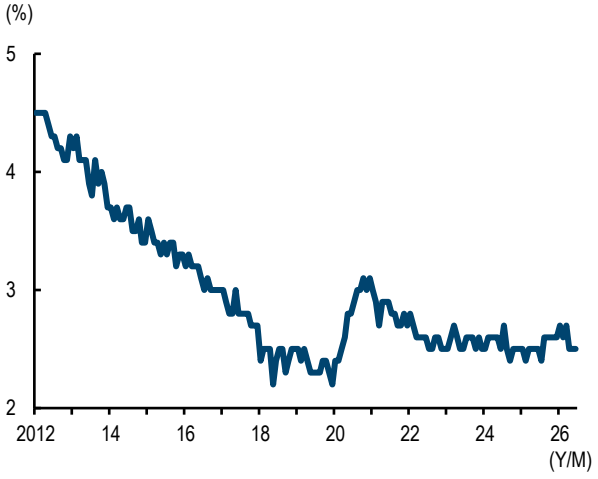
In the background to the drop in manufacturing employment is a slump in production activity. Manufacturing output has been shrinking due to the effects of U.S. tariff policy, soaring raw material prices, and a decline in the international competitiveness of Japanese firms. As a result, pressure to reduce headcounts has been building. Even in non-manufacturing, some industries closely linked to manufacturing, such as transportation and wholesale/retail, are also exhibiting weakness in labor demand.

◆ The employment situation could remain fragile in the near term

Looking ahead at the employment situation in the short term, a sense of stagnation may persist. The contraction in output in the manufacturing sector will continue to weigh on labor demand. Although production activity has been brisker recently, particularly in semiconductor-related industries, the employment-creation capacity of such industries is small. The employment-inducement coefficient per unit of new demand tends to be lower than in other sectors, meaning that the industries lack the strength to serve as drivers of employment.

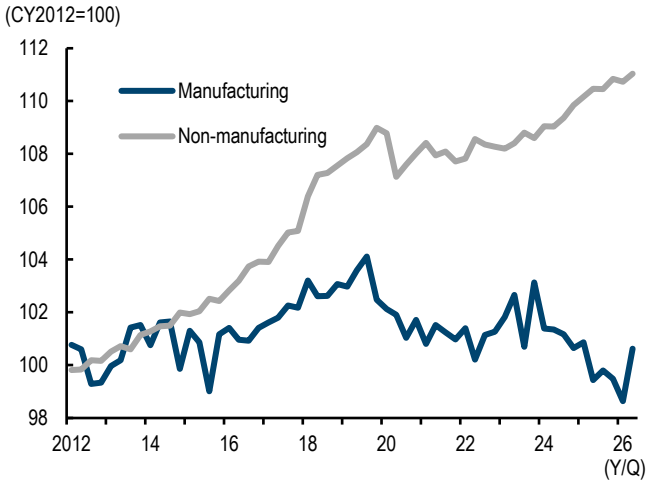
However, in the medium to long term, the unemployment rate is expected to see a gradual decline. Demand for labor is projected to stay solid, especially in face-to-face services such as medical/nursing care and accommodation and eating/drinking services, but the number of people seeking employment from the non-labor force population has declined significantly due to the expansion in elderly and female workforce participation. With limited room for expansion in the labor supply, the job market is expected to tighten further.

Figure 5-1 Unemployment Rate
<seasonally adjusted>



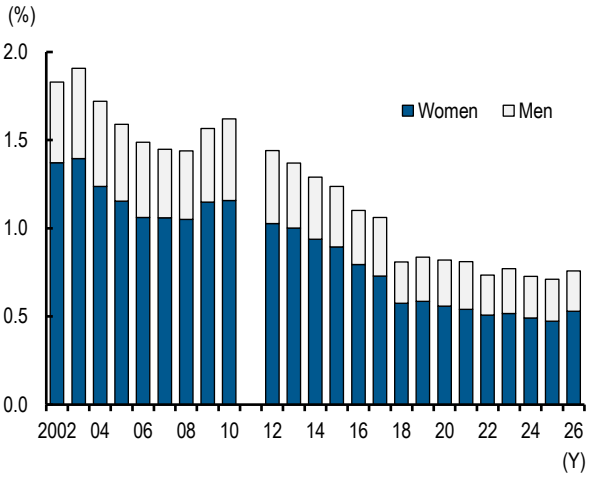
Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Figure 5-2 Number of Employed Persons
<seasonally adjusted>



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Figure 5-3 Persons Wishing to Work Among Those Not in the Labor Force



Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Note: The ratio of persons not in the labor force who wish to work and are available for employment to the population aged 15 and over. The figure for 2026 is as of Q1. Data for 2011 are unavailable due to the impact of the Great East Japan Earthquake.

The government is curbing inflation

◆ Policy factors are pushing down the inflation rate

In June, core inflation (all items, less fresh food) was 1.6%, staying under 2% for the fifth consecutive month. Food price inflation has slowed, and a major reason for this is a fallback in rice prices, which soared last year. Gasoline subsidies are also continuing to curtail energy price increases.

Inflation looks set to hover in the 2% range in the second half of 2026. Although energy subsidies and other government measures will soften inflationary pressure to some extent, with imported inflationary pressure building, prices are expected to be pushed up as higher costs are passed through to selling prices. From FY2027 onward, the reduction in the consumption tax rate for food items will serve to keep prices down, and inflation is expected to drop into the 1% range.

◆ The Bank of Japan (BOJ) will keep its policy rate unchanged

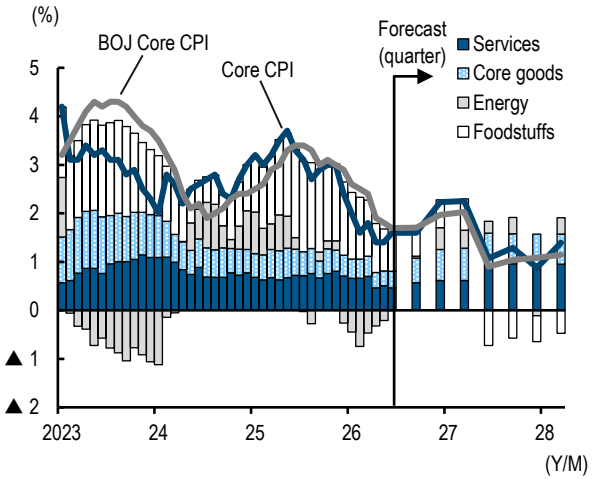
At its July monetary policy meeting, the BOJ decided to keep its policy rate unchanged.

Long-term interest rates remain high. This reflects concerns about inflation resulting from the increase in oil prices and expectations of an expansion in fiscal expenditure.

The BOJ is expected to step up the pace of interest rate hikes while closely monitoring the impact of higher rates on the real economy and financial/capital markets. The next rate hike is expected to be in September.

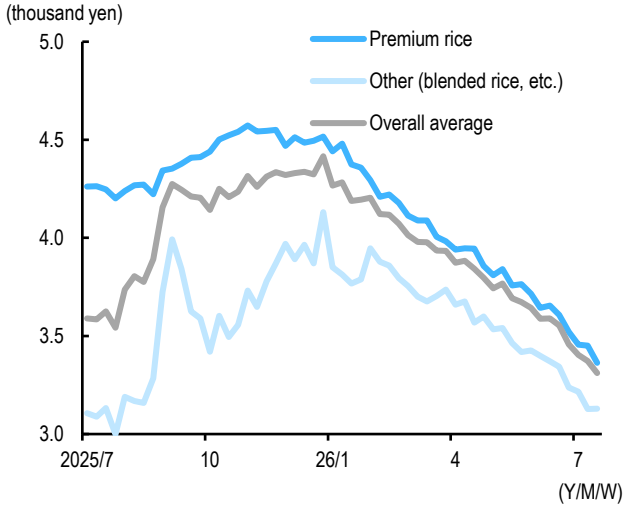
Long-term interest rates look likely to rise gradually, reflecting heightened anticipation of rate hikes by the BOJ and increased fiscal spending by the government. If jitters about a deterioration in fiscal discipline resulting from such measures as energy subsidies or the consumption tax cut take hold, there is also a risk that long-term interest rates will rise.

Figure 6-1 Consumer Price Index <YoY>



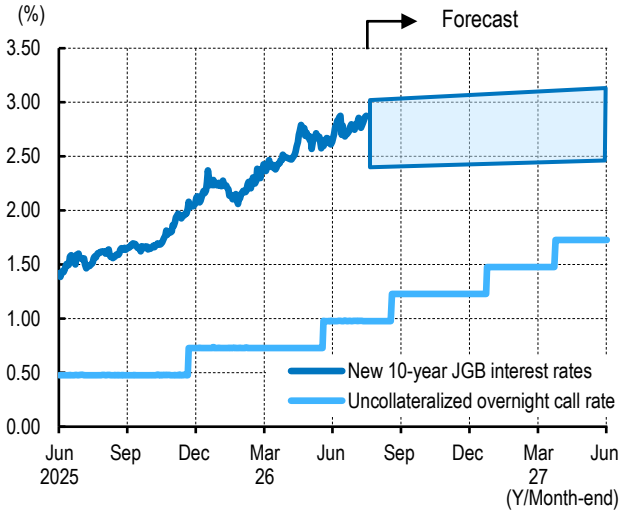
Source: Japan Research Institute, Ltd. based on data from the Ministry of Internal Affairs and Communications

Figure 6-2 Rice Selling Prices



Source: Japan Research Institute, Ltd. based on data from the Ministry of Agriculture, Forestry and Fisheries

Figure 6-3 Outlook for Japan's Main Interest Rates



Source: NEEDS-FinancialQUEST

Topic: Consumer price inflation pressure will strengthen again in the second half of the year

◆ Surging crude oil prices have become a source of upward pressure on prices

With crude oil prices having spiked against the backdrop of the worsening situation in the Middle East, corporate input costs have risen sharply, and pressure for price pass-through is intensifying. Looking at the Final Demand-Intermediate Demand price indexes, the margin of price increases at the upstream stage far exceeds that at the downstream stage, and price pass-through pressure is also substantial at the downstream stage.

According to estimates based on past data, the impact of rising oil prices involves a time lag. Specifically, the push-up effect on the consumer price inflation rate increases for around 10 months and continues to exert influence for a long period thereafter.

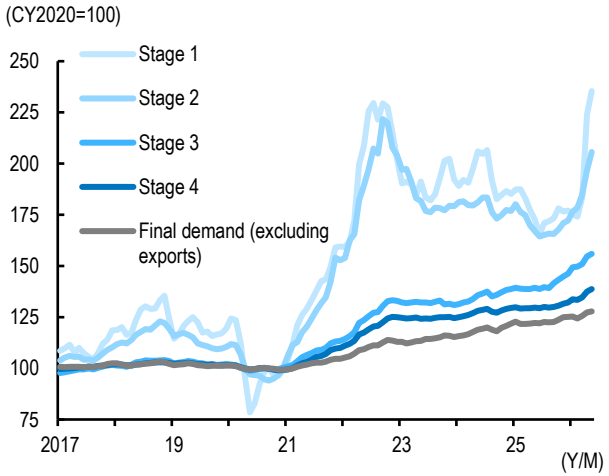
◆ Price pass-through willingness is also stronger than before

Notably, food product manufacturers are planning to raise prices for a huge number of items during the summer and beyond. According to Teikoku Databank, the number of items slated for price increases as of the end of July, when it conducted its latest survey, was higher than in the May and June surveys.

If government subsidies for electricity/gas bills and gasoline prices are scaled back or ended, both energy and food prices will increase concurrently, and the consumer price inflation rate may rise again.

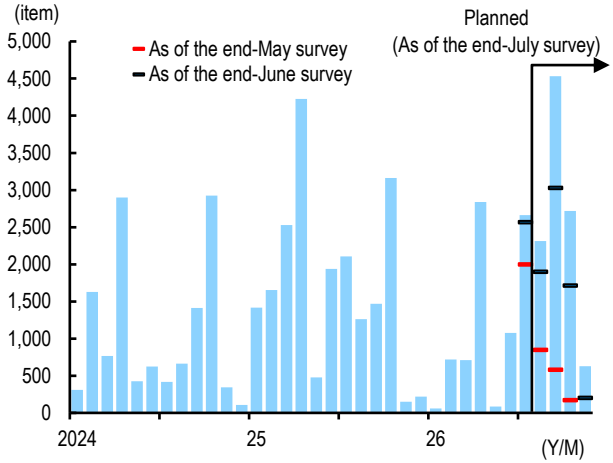
Attention also needs to be paid to the possibility that price pass-through driven by elevated oil prices will become prolonged. In the 2020s, the rate of price increases in transactions between companies has been higher than in the 2010s, and firms' medium-term outlooks for selling prices have also shifted upward. Events that trigger cost increases, such as heightened geopolitical tensions, have been occurring repeatedly, and companies may be more willing to pass through higher costs to prices than they were before.

Figure 7-1 Final Demand and Intermediate Demand Price Indexes (Goods)



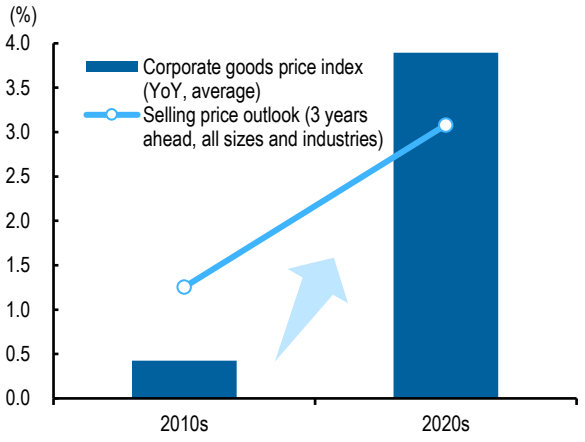
Source: Japan Research Institute, Ltd. based on data from the Bank of Japan

Figure 7-2 Number of Food Products Subject to Price Increases



Source: Japan Research Institute, Ltd. based on data from Teikoku Databank, Ltd.
Note: Based on the price revision plans of 195 major food manufacturers as of end-June 2026.

Figure 7-3 Corporate Goods Price Index and Selling Price Outlook



Source: Japan Research Institute, Ltd. based on data from the Bank of Japan
Note: The corporate goods price outlook is the average YoY change. The BOJ Tankan selling price outlook is based on data available from Q1 2014 onward.

The economy is expected to continue to recover, but downside risks are present

◆ The economy is projected to stay on the recovery track

The Japanese economy should continue its gradual recovery. WTI crude oil futures prices are expected to fall moderately going forward.

In the corporate sector, government support for investment is providing a tailwind, and demand for investment for labor saving and digital transformation remains robust. In addition, rising global demand for AI-related goods should support exports. Supply chain disruptions resulting from the deterioration in the Middle East situation will begin to ease, and corporate production activity is expected to gradually recover.

In the household sector, inflationary pressure is expected to strengthen from the summer onward due to higher crude oil prices. In response, the government will probably ease the inflationary pressure through measures such as energy subsidies. While the pace of increase in personal consumption is likely to slow somewhat, consumption is expected to remain resilient amid continued high wage growth. From FY2027 onward, the reduction in the consumption tax rate for food items should also support personal consumption.

◆ The Middle East situation and rising interest rates constitute risks

Real GDP growth is projected to remain solid, registering +0.8% in FY2026 and +0.9% in FY2027.

However, if the situation in the Middle East worsens again or becomes prolonged, there is a risk that downward pressure on the economy will intensify, mainly through three channels: 1) weaker exports, 2) raw material supply constraints, and 3) rising prices. In addition, if market concerns about the fiscal stance of the Takaichi government grow, the yen could weaken further, and long-term interest rates could rise, potentially forcing the scaling-back or scrapping of expansionary policies such as investment support measures, energy subsidies, and lower consumption tax.

Figure 8　Projections for Japan's GDP Growth and Main Indicators (as of August 17, 2026)

(seasonally adjusted, annualized % changes from the previous quarter)

	CY2026				CY2027				CY2028	FY2025	FY2026	FY2026
	1～3	4～6	7～9	10～12	1～3	4～6	7～9	10～12	1～3			
	(Actual)		(Projection)							(Actual)	(Projection)	
Real GDP	1.9	1.1	0.3	0.8	0.9	1.4	1.2	0.9	0.8	0.9	0.8	0.9
Private Consumption Expenditure	1.9	-0.1	0.5	0.4	0.4	1.8	1.5	0.9	0.8	1.3	0.7	1.1
Housing Investment	3.8	-1.8	0.0	-0.1	-0.3	-0.4	-0.5	-0.5	-0.5	-2.6	0.6	-0.3
Business Fixed Investment	-3.8	-4.6	2.7	1.7	1.7	1.5	1.2	1.2	1.0	2.3	-0.5	1.5
Private Inventories (percentage points contribution)	(-0.3)	(0.9)	(-0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.1)	(0.0)	(-0.1)	(-0.0)	(0.1)
Government Consumption Expenditure	1.5	6.7	1.1	1.1	1.1	1.1	1.1	1.1	1.1	0.8	2.6	1.1
Public Investment	6.0	-0.4	1.0	1.0	1.0	0.9	0.8	0.8	0.8	-0.3	1.0	0.9
Net Exports (percentage points contribution)	(1.3)	(1.9)	(-1.4)	(-0.3)	(-0.2)	(-0.3)	(-0.2)	(-0.2)	(-0.2)	(-0.1)	(0.4)	(-0.3)
Exports of Goods and Services	7.1	2.1	-1.0	0.9	1.3	1.5	1.6	1.7	1.7	2.0	1.6	1.3
Imports of Goods and Services	1.1	-6.0	4.9	2.3	2.2	2.8	2.7	2.5	2.5	2.5	-0.2	2.7

(% changes from the same quarter of the previous year)

Nominal GDP	3.8	3.2	3.2	3.6	3.5	5.1	2.7	2.3	2.9	4.3	3.4	3.2
GDP deflator	3.2	2.6	2.2	2.8	2.6	4.4	1.7	1.3	1.8	3.3	2.5	2.3
Consumer Price Index (excluding fresh food)	1.8	1.5	1.6	2.3	2.3	1.1	1.3	0.8	1.3	2.8	1.9	1.1
Unemployment Rate (%)	2.7	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.6	2.5	2.5
Exchange Rates (JY/US$)	157	159	160	159	159	158	158	158	156	151	159	158
Import Price of Crude Oil (US$/barrel)	67	111	82	83	82	79	76	73	73	71	89	75

(% changes from the previous fiscal year)

Sources: Cabinet Office; Ministry of Internal Affairs and Communications; Ministry of Economy, Trade and Industry; Ministry of Finance
The projection figures are based on those from the Japan Research Institute, Ltd.

ASIA MONTHLY

October 2026

Topics *Loss-making firms are on the rise in China's growth sectors*……*1*
Topics *Climate change heightens the risk of growth stagnation in Asia* ……*3*

Japan Research Institute

This report is the revised English version of the October 2026 issue of the original Japanese version (published on Sep. 29).

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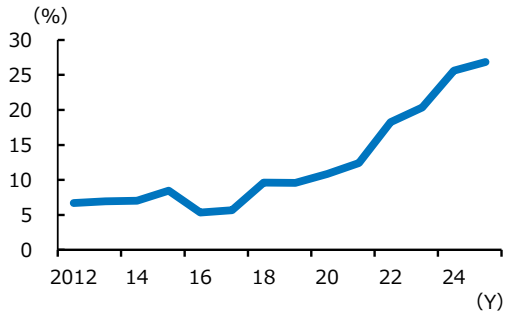
Topics *Loss-making firms are on the rise in China's growth sectors*

In China, the number of companies operating in the red is increasing. And the rise is particularly striking in growth sectors. One factor behind the increase is the intense competition among firms, which has led to a situation in which only the strongest thrive. Another is that many next-generation growth companies, despite being viewed as having great potential, are losing money.

■ Loss-making firms are on the rise in growth sectors

In recent years, the number of companies in China's growth sectors that are operating in the red has increased markedly. The share of loss-making firms in all listed firms (below, "loss-making-firm ratio") rose sharply from 9.6% in 2019 to 26.9% in 2025. Looking at the industry distribution of loss-making firms, from 2019 to 2022, the ratio increased mainly in non-manufacturing sectors such as real estate and accommodation and eating/drinking services, reflecting the property market downturn and strict stay-at-home measures implemented to curb the spread of COVID-19. Later, from 2022 to 2025, the loss-making-firm ratio surged in information/communications equipment and electronic parts/devices; general, production, and commercial machinery; electrical machinery; and chemicals. These four sectors alone accounted for around 60% of the overall increase.

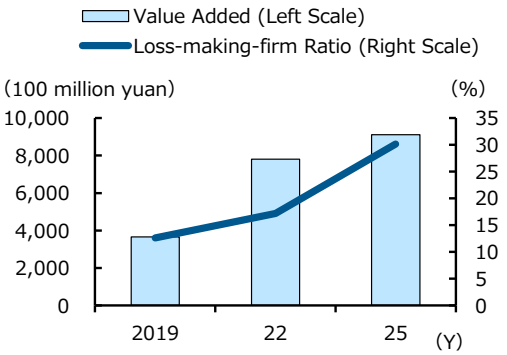
<China's Loss-making-firm Ratio>



Source: Prepared by JRI based on data from Wind
Note: Financial data from listed firms

They are the principal growth sectors in Chinese manufacturing. This is evidenced by the fact that the growth rates of value added in all four sectors exceed the average for Chinese manufacturing. Many of the high-tech manufacturing industries that the Chinese government has prioritized for development are included in these sectors. For example, 5G base stations and semiconductors fall under information/communications equipment and electronic parts/devices. And robots fall under general, production, and commercial machinery. Meanwhile, solar cells and batteries fall under electrical machinery, and biopharmaceuticals and organic chemical materials fall under chemicals.

<Value Added and Loss-making-firm Ratio>



Source: Prepared by JRI based on data from Wind
Note: Financial data from listed firms in information/communications equipment and electronic parts/devices manufacturing

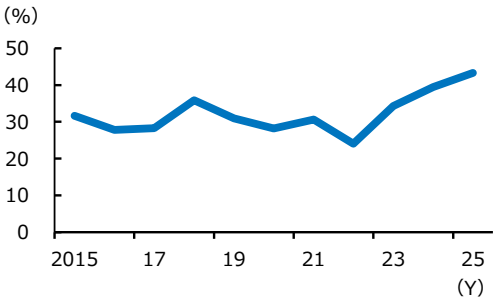
Looking at recent developments in the manufacturing of information/communications equipment and electronic parts/devices, the global communications standard began shifting from 4G (LTE) to 5G services in around 2019, and ChatGPT was released in November 2022. These developments have provided tailwinds for the growth of the sector. Recently, as it has become clear that ordinary consumers and companies can make use of AI services on a daily basis, demand for AI-related devices and semiconductors, as well as data centers, has soared. In this environment, many firms are focusing on strengthening development, manufacturing, and sales, and the sector's value added has continued to increase, rising from 780 billion yuan in 2022 to 910 billion yuan in 2025. Yet over the same period, the number of loss-making firms increased from 113 to 198, and the loss-making-firm ratio jumped from 17.2% to 30.1%.

■ Competition among companies means only the strongest thrive

One reason loss-making firms are increasing despite operating in growth sectors is the intense competition among companies. The fight for market share has led to overheated investment competition

and price competition. In information/communications equipment and electronic parts/devices manufacturing, the rate of growth of non-current assets from 2022 to 2025 (+35.4%) far exceeded the growth rate of value added (+16.9%). This indicates that supply capacity is expanding faster than demand. In addition, the consumer price index (CPI) increased by just 0.4% over the same period. Service prices rose 2.2%, reflecting wage increases, while goods prices fell 0.7% due to excess supply in manufacturing. Information/communications equipment prices decreased by 3.5%, larger than the drop for goods overall.

<Profit Share of Top 1% of Firms>



Source: Prepared by JRI based on data from Wind
Note: Financial data from listed firms in information/communications equipment and electronic parts/devices manufacturing

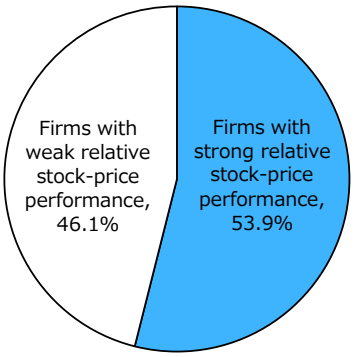
As the selection of the fittest through competition among companies has progressed, profits have become concentrated at a small number of highly competitive firms. The share of profits earned by the top 1% of firms in information/communications equipment and electronic parts/devices manufacturing rose sharply from 24.0% in 2022 to 43.3% in 2025. Leading companies are simultaneously establishing positions as both "domestic champions" and "global champions."

■ Next-generation growth companies are viewed as having great potential even though they are losing money

However, loss-making firms cannot simply be lumped together and labeled as losers. Globally, investors have shown increasing interest recently in companies with high growth potential even if they are operating in the red, and China has a considerable number of such firms.

In information/communications equipment and electronic parts/devices manufacturing, one out of every two loss-making firms is a company attracting strong investor interest. The Shanghai Composite Index rose 28.5% from 3,089 points at the beginning of 2023 to 3,969 points at the end of 2025. 20 of the 198 loss-making firms in 2025 were not yet listed in 2023, and if these are excluded, there were 178 companies operating in the red as of 2025. Of these 178 firms, 96 (53.9%) saw stock-price increases over the period 2023-2025 that exceeded the rise in the Shanghai Composite Index.

<Distribution of Loss-making Firms Based on Relative Stock-price Performance>



Source: Prepared by JRI based on data from Wind
Note: Financial data from listed firms in information/communications equipment and electronic parts/devices manufacturing

One characteristic of these 96 companies with strong relative stock-price performance is their active investment in R&D and intangible assets. Their average R&D intensity (R&D investment / sales) in 2022 was 9.6%, and their ratio of intangible assets to value added stood at 60.5%. Intangible assets include computer software, patents, copyrights, and relationships with customers and suppliers. In contrast, the 82 loss-making firms with weak relative stock-price performance had an R&D intensity of only 6.5% and an intangible-asset-to-value-added ratio of just 38.9%.

As the above has shown, the increase in loss-making firms in China's growth sectors is notable, and the factors behind it include not only the selection of the fittest as a result of competition among companies but also the emergence of next-generation growth firms that are viewed as having great potential.

(Shinichi Seki)

Topics *Climate change heightens the risk of growth stagnation in Asia*

Climate change could elevate the risk of economic growth flatlining in the ASEAN zone and India by causing labor productivity growth and capital accumulation to stall. To mitigate or avert such a scenario, establishing a business environment and institutions that promote "adaptation investment" by both the public and private sectors is an urgent task.

■ Heavy-rain and flood damage is becoming increasingly serious in Asia

Huge downpours and floods resulting in human casualties have been a frequent occurrence in Asia in the past several years. Still fresh in the memory is the debris flow that occurred in August this year near the border between Nepal and China, which as of the time of writing has been recognized as a major disaster with thousands dead or missing. And in November of last year, Southeast Asia and South Asia saw record-breaking torrential rains, resulting in numerous casualties, particularly in Indonesia and Sri Lanka.

One factor that heightens the risks of such floods and heavy rains is climate change. As temperatures rise, the amount of water vapor in the atmosphere increases. Therefore, global warming could intensify torrential rainfall. Although such risk is shared across Asia, the way its effects are felt differs by region. Within Asia, the ASEAN zone and India are heavily affected by monsoons (seasonal winds), with many areas experiencing concentrated rainfall during the wet season. In such areas, warming can further intensify monsoon-driven heavy rains, increasing the risks of floods and landslides.

<Major Recent Heavy-rain and Flood Disasters (Asia)>

Date/Location	Details of Damage
July 2024 - India	・Large-scale landslides occurred in the south due to heavy rain. ・298 dead.
September 2024 - Vietnam	・Floods, landslides, and widespread inundation occurred due to a typhoon making landfall in the north and the subsequent prolonged rainfall. ・323 dead, 22 missing.
November 2025 - Indonesia	・Widespread flooding and landslides occurred due to intermittent torrential rains in northern Sumatra. ・1,180 dead, 145 missing.
November 2025 - Sri Lanka	・Widespread flooding and landslides occurred due to heavy rain accompanying a cyclone. ・649 dead, 173 missing.
July 2026 - China	・Large-scale flooding occurred due to heavy rain accompanying a typhoon. ・159 dead and 10 missing in Guangxi Zhuang Autonomous Region.
August 2026 - Nepal / China	・A large-scale debris flow occurred due to glacier collapse. ・On the Nepal side, 1,395 dead and 5,130 missing.

Source: Prepared by JRI based on various media reports and announcements
Notes: Human casualties are based on information obtained from media reports, etc. and may have been updated since.

■ Climate change will delay the escape from the "middle-income trap"

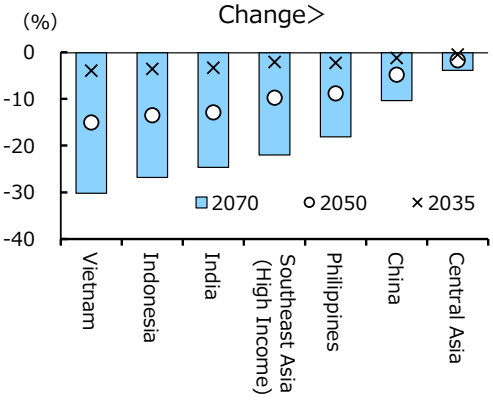
Climate change not only results in human casualties by way of natural disasters, but may also undermine the long-term economic growth potential of ASEAN and India through various channels. The Asian Development Bank (ADB) [2024] conducted a quantitative analysis of the extent to which climate change will weigh on Asian economies over the long term. Based on the IPCC's "very high GHG emissions" scenario (SSP5-8.5), the analysis assumes a 4.7°C rise in the Earth's average temperature by 2100 relative to pre-industrial levels, and estimates the difference in real GDP between that and a hypothetical scenario without climate change. The results illustrate the long-term impact on economic growth through declines in labor productivity, stagnation in capital accumulation, and downward pressure on consumption due to sea-level rise, floods, heat waves, and other phenomena caused by climate change.

An examination of the results reveals that in every country/territory, the pushdown effect on real GDP relative to the no-climate-change scenario expands over time, with 2035, 2050, and 2070 each seeing greater impact. The pushdown effect for ASEAN and India is −15.0% to −8.8% in 2050 and −30.2% to

−18.1% in 2070, larger than the effects for China (2050: −4.8%, 2070: −10.3%) and Central Asian countries (2050: −1.7%, 2070: −3.8%). Within Asia, the ASEAN zone and India can be considered regions where the risk of economic stagnation due to climate change is relatively large.

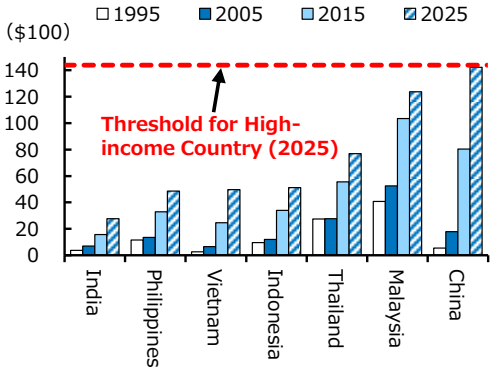
This may make it even more difficult for ASEAN countries and India to escape the "middle-income trap." Although their income levels have risen, they still remain far from high-income status. Indonesia, Malaysia, the Philippines, and Thailand became middle-income countries in the 1990s or earlier, but have still not been able to join the groups of high-income countries. Furthermore, Vietnam and India, which became middle-income countries in the 2000s or later, have yet to enter a high-growth trajectory like China once did. Climate change, by causing labor productivity growth to stall amid rising temperatures and companies to curtail investment due to more frequent disasters, may lead to income growth in the ASEAN zone and India being delayed further.

<Real GDP Losses Due to Climate Change>



Source: Prepared by JRI based on estimates from ADB [2024]
Note: "Southeast Asia (high income)" is the total for Brunei, Singapore, Malaysia, and Thailand.

<Nominal GNI Per Capita>



Source: Prepared by JRI based on data from the World Bank

■ Improving the environment to accelerate "adaptation investment" will be important

To alleviate the pushdown effect of climate change on growth, expansion of "adaptation investment" by the public and private sectors is essential. Specifically, this could include improving working environments and promoting measures to lighten workloads and reduce headcounts in order to offset declines in labor productivity caused by rising temperatures, as well as developing infrastructure and strengthening facilities to prevent damage to production equipment from sea-level rise and floods. However, ASEAN and India cannot be said to have sufficiently developed the foundations for public and private promotion of such adaptation investment.

As part of its Global Adaptation Initiative (ND-GAIN), the University of Notre Dame (U.S.) evaluates countries' ability to use investment to achieve climate-change adaptation in the form of a "readiness" score with three components: economic readiness, governance readiness, and social readiness. Respectively, these components assess 1) whether a business environment conducive to adaptation investment by private-sector companies has been put in place, 2) whether the effectiveness of institutions

<ND-GAIN Readiness World Ranking (2024) >

Country	Readiness	Economic	Governance	Social
Singapore	1	2	3	3
South Korea	3	1	30	1
Japan	13	15	16	11
Malaysia	64	50	61	97
Vietnam	84	57	100	85
Indonesia	95	63	107	91
Philippines	111	81	126	115
India	117	113	106	85
Thailand	123	124	111	83

Source: Prepared by JRI based on University of Notre Dame, "ND-GAIN" (2026)

and policies to support private-sector adaptation investment has been secured, and 3) whether tangible and intangible social infrastructure that promotes investment has been established.

Looking at readiness in 2024, ASEAN countries and India generally rank in the middle to lower tiers globally, with a large gap between them and developed countries. Notably, the Philippines, India, and Thailand fall outside the top 100, indicating weak momentum for adaptation investment. Breaking down the scores, problems are especially evident in the economic and governance categories. India and Thailand have particularly low economic readiness, ranking 113th and 124th, respectively, and five countries (Malaysia not included) fall outside the top 100 for governance readiness. Given this situation, to accelerate private-sector adaptation investment, India and Thailand in particular need to move swiftly to improve the financial environment to make it easier to procure necessary funds domestically and internationally, relax regulations to encourage the launch of new businesses, and reform labor markets to enable the smooth securing of human resources. In addition, for Asia as a whole, it will also be important to boost confidence in the institutional factors that enhance application of investment for adaptation by increasing policy stability, ensuring the effectiveness of legal systems, and curbing corruption.

(Tomohiro Hosoi)

ASIA MONTHLY

September 2026

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Topics AI boom is stoking inflation concerns in South Korea ……4

Japan Research Institute

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Topics *China's consumption-boosting measures lack potency*

The Chinese government has formulated its first five-year plan dedicated exclusively to expanding consumption. However, a rapid recovery from the real-estate slump and anxiety surrounding employment, particularly among young people, which lie at the root of consumers' growing preference for saving money, appears unlikely. Achieving the plan's goals is therefore expected to prove difficult.

■ Services consumption is positioned as top priority

In July, the Chinese government formulated a plan to expand consumption during the 15th Five-Year Plan period. This is the first time China has released a five-year plan dedicated exclusively to consumption. The plan's overarching goal is to increase the share of household consumption, including consumption of a broad range of services, in the overall economy. The aim is to transform China's economic growth model. China's economy has traditionally relied heavily on investment-led growth, and household consumption accounts for less than 40% of GDP, significantly below the 50–60% seen in major European countries and Japan and the figure of almost 70% in the U.S. Meanwhile, with the real-estate slump and excess production capacity becoming increasingly serious problems, the traditional investment-oriented growth model has reached its limits, making a shift to consumption-driven growth an urgent priority.

<Plan to Expand Consumption during The 15th Five-Year Plan Period>

Numerical Target

Raising total retail sales of consumer goods to **around 60 trillion yuan**

Crucial Areas

1. **Qualitatively enhancing services consumption**
2. Expanding and upgrading goods consumption
3. Fostering new consumption forms, models, and scenarios
4. Raising consumption capacity
5. Optimizing the overall consumer environment
6. Enhancing platforms and strengthening support mechanisms to boost consumption

Source: Prepared by JRI based on information from the State Council of the People's Republic of China

As a specific numerical target, the plan calls for raising total retail sales of consumer goods (goods retail + catering industry income) to around 60 trillion yuan by 2030. Achieving this target will require consumption to expand at an average annual rate of 3.7% over the five-year period. Unlike the overarching goal described above, however, this numerical target does not include consumption of services other than the income of the catering industry.

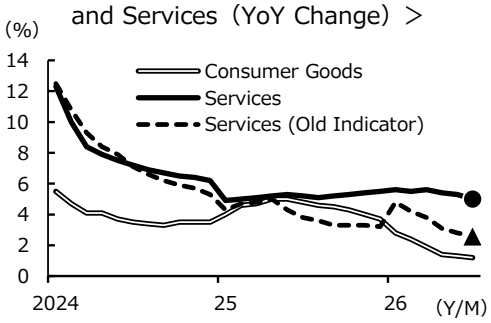
The plan presents six "crucial areas" for advancing initiatives to expand consumption: 1) qualitatively enhancing services consumption, 2) expanding and upgrading goods consumption, 3) fostering new consumption forms, models, and scenarios, 4) raising consumption capacity, 5) optimizing the overall consumer environment, and 6) enhancing platforms and strengthening support mechanisms to boost consumption. Regarding services consumption, which is positioned at the top of this list, policies include supporting consumption in elderly care (silver economy) and childcare services, developing cultural and tourism consumption, promoting consumption in health and sports, and enhancing education and training services. At the meeting of the CCP Politburo at the end of July, the need to unlock the potential of services consumption was also emphasized, suggesting that the focus of the Chinese government's consumption-boosting measures is shifting from goods to services consumption.

■ Services consumption is being affected by keenness to save money

In conjunction with the formulation of the plan, in June the government began publishing a new indicator designed to capture trends in consumption of a broad range of services: total retail sales of consumer goods and services. In addition to the income of the catering industry, which was captured by the previous retail sales indicator (total retail sales of consumer goods), this new metric includes consumption of various other services, such as communication/information services, tourism/culture, and sports/leisure. A comparison of recent trends in the old and new indicators shows that while growth in the old indicator has continued to slow since 2024, the new indicator is relatively solid.

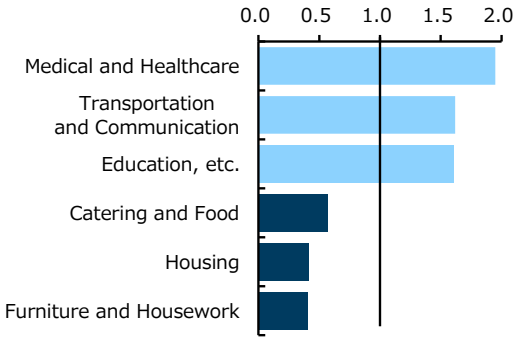
Overall services consumption is therefore firm in comparison to goods consumption, though it still lacks the strength to become a driver of overall consumption. Looking at the breakdown of services consumption, spending patterns have diverged amid the economic slowdown since 2025, when the gap between the old and new indicators widened, as consumers have increasingly sought to save money. Expenditure on items for which it is difficult to cut spending, such as medical/healthcare, transportation/communication, and education, has tended to increase faster than disposable income. In contrast, spending on services that can be substituted with alternatives within the household, such as catering and domestic help, has stagnated. Housing-related expenses, including rent, have also remained weak against the backdrop of the real-estate slump. Furthermore, even tourism consumption, which the government has positioned as a pillar of consumption expansion, has been affected by economic considerations. Travelers are increasingly favoring low-cost, close-to-home, and short-duration trips, with domestic travel more popular than overseas travel. Per capita spending by domestic tourists has also declined.

<Total Retail Sales of Consumer Goods and Services (YoY Change) >



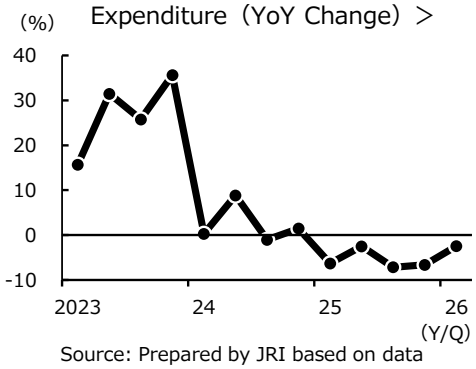
Source: Prepared by JRI based on data from CEIC
Note: Cumulative since start of year. Services (old indicator) is income of the catering industry, which was included in total retail sales of consumer goods.

<Consumption Growth Relative to Income Growth>



Source: Prepared by JRI based on data from CEIC
Note: YoY change in expenditure / YoY change in disposable income.Medians for 2025 Q1 to 2026 Q2.

<Per Capita Domestic Tourism Expenditure (YoY Change) >



Source: Prepared by JRI based on data from CEIC

■ Lack of measures to overcome structural weakness in consumption makes target difficult to achieve

Among the other crucial areas, 3) fostering new consumption forms, models, and scenarios is expected to generate some additional demand through measures such as developing digital consumption by integrating artificial intelligence with consumption, promoting green (eco-friendly) consumption, and developing the "first-launch economy" in line with local conditions. The first-launch economy is a catch-all term for economic activities involving "firsts," such as companies launching new products and introducing new business formats, technologies, and services, and overseas and domestic brands opening their first stores.

However, a full-fledged recovery in consumption appears unlikely. The root causes of consumers' preference for saving are the negative wealth effect of the real-estate slump and a soft employment environment, particularly for young people. Although cities have introduced measures such as easing requirements for home purchases, structural factors, including a decline in the pool of potential home buyers, continue to weigh on housing sales. Prices of both new homes and used homes, which tend to better reflect

actual market conditions, have continued to decline, and inventory turnover periods also appear to be getting longer. A full-fledged recovery in the housing market is therefore unlikely to happen for a few more years. The employment situation also shows little sign of improvement. Looking at unemployment rates by age group since the beginning of this year, rates for those aged 16–24 and 30–59 have remained at the high levels seen before 2025, while the rate for those aged 25–29 has deteriorated to above last year's level. Consumer confidence, which has been in "pessimistic" territory since 2022 amid the real-estate downturn, has worsened further since the start of this year.

The five-year plan mentions such measures as promoting high-quality and full employment, optimizing the supply of affordable housing, and increasing asset income via various channels, such as by improving the health of the real-estate market. However, it does not set out specific policies. In addition, advances in artificial intelligence could lead to job displacement, causing a further heightening of household anxiety about the future, so paradoxically, the technology could actually worsen consumer confidence. Because the five-year plan does not adequately address the root causes of weak consumption, the transition to a consumption-driven economy is expected to prove challenging.

(Hiromu Komiya)

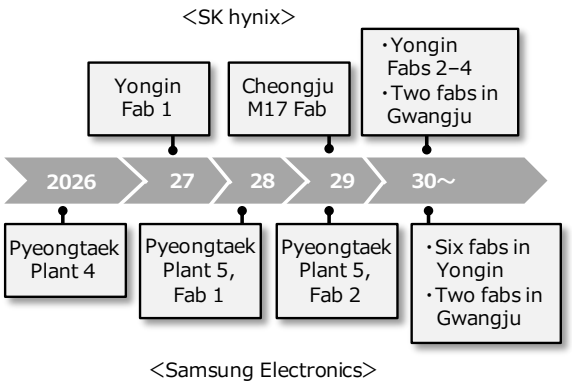
Topics *AI boom is stoking inflation concerns in South Korea*

Rising semiconductor prices are spilling over into durable goods prices in South Korea. In addition, widening demands for "N% performance-based bonuses," which originated in the semiconductor industry and involve a certain percentage of the company's profit being returned to employees in the form of bonuses, could lead to broader-based price increases.

■ Semiconductor prices soar amid the AI boom

Against the backdrop of the worldwide AI boom, prices of memory chips, in which South Korean companies hold a large share of the global market, have surged. Price increases are spreading beyond advanced memory chips for AI data centers to general-purpose memory chips used in a wide range of digital devices, including PCs and smartphones. Semiconductor manufacturers have shifted production capacity toward more profitable advanced products, resulting in shortages of general-purpose products and pushing up their prices.

<Scheduled Start of Operations at New Fabs>



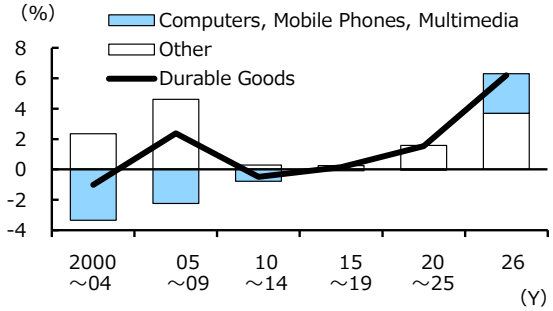
Source: Prepared by JRI based on various media reports

Such supply-demand pressures are likely to persist for the time being. In South Korea's semiconductor industry, fabs are operating at high utilization rates, leaving limited scope for increasing output at existing facilities. Meeting the brisk demand thus necessitates a build-out of new production capacity. In response, major South Korean chipmakers Samsung Electronics and SK hynix are planning large-scale investments, but a substantial expansion in supply is not expected until 2027 at the earliest. Building large-scale fabs and putting them into operation takes considerable time, and even after a facility begins operating, it typically takes several months to a year to complete adjustments to improve yields and establish mass-production capabilities. There will therefore be a significant wait before increased production capacity leads to price stabilization.

■ Wave of price increases spreads to semiconductor-containing products

The surge in chip prices has already spilled over into prices of finished goods. Price increases have been particularly noticeable with products that contain large numbers of memory chips, such as PCs, smartphones, game consoles, and storage devices. Prices of these durable goods had generally been on a downward trend over the past 20 years, reflecting improvements in performance driven by technological advances as well as declining production costs. Recently, however, they have turned upward, pushing up consumer prices. PC prices, in particular, have risen markedly, increasing by approximately 20% between January and July this year.

<Consumer Price Index (Durable Goods)>



Source: Prepared by JRI based on data from CEIC
Note: The annual increase for 2026 is estimated based on the rate of increase in January-July. For the other five years, the annual increase is the average of the YoY increase and degrees of contribution each month.

Going forward, inflationary pressure is expected to remain strong, particularly for durable goods. In the case of products containing large quantities of semiconductors, manufacturers are likely to continue passing higher memory chip costs through to selling prices. Furthermore, such developments are not limited to digital devices. The wave of price increases could spread to automobiles and smart home appliances, which also contain numerous chips. In the auto industry, in particular, the increasing sophistication of vehicles has led to greater semiconductor usage, making it likely that soaring manufacturing costs will be passed on to consumers.

■ Demands for "N% performance-based bonuses" are spreading across South Korea

At South Korean semiconductor giant SK hynix, employees received exceptionally large performance-based bonuses in February this year, with the payouts exceeding their annual salaries. This was attributable not only to a sharp increase in the company's earnings, which were boosted by the global AI boom, but also to a revamp last year of the firm's bonus system, whereby 10% of operating profit would be allocated to a pool for performance-based bonuses. In May, following SK hynix's enormous bonus payout, the labor union at Samsung Electronics threatened a strike unless employees received performance-based bonuses on a similar scale. Although the strike was ultimately avoided, labor and management in the semiconductor division agreed to allocate 10.5% of the business's profit to special bonuses. Estimates based on this agreement and earnings forecasts for this year indicate that the average performance-based bonus to be paid next year by the semiconductor divisions of SK hynix and Samsung Electronics will exceed 50 million yen per employee.

<Demands for N% Performance-based Bonuses in South Korea>

Semiconductors	SK hynix: 10% of operating profit (Agreed) Samsung Electronics: 10.5% of semiconductor business profit (Agreed)
Automobiles	Hyundai Motor: 30% of net profit; strike held Kia: 30% of operating profit
Heavy Industry	HD Hyundai Heavy Industries: At least 30% of operating profit
Non-ferrous Metals	Korea Zinc: 10% of operating profit
Pharmaceuticals	Samsung Biologics: 20% of operating profit
Information and Communications	LG Uplus: 30% of operating profit
IT	Kakao: 13–15% of operating profit; strike held

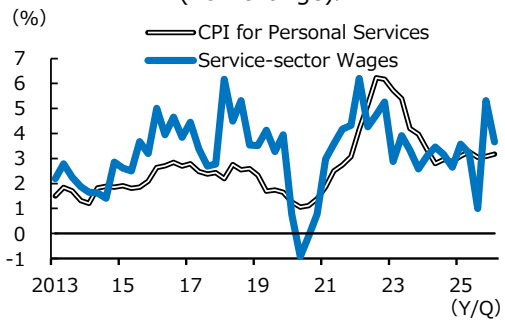
Source: Prepared by JRI based on various media reports

Demands for "N% performance-based bonuses," whereby a certain percentage of profit is returned to employees, are spreading beyond the semiconductor industry into other sectors, too. In manufacturing, labor unions in the automobile, heavy industry, non-ferrous metals, and pharmaceutical sectors are calling for a certain percentage of operating or net profit to be allocated to performance-based bonuses, and in the service sector, unions in segments such as information and communications are making similar demands. At major IT company Kakao, for example, the labor union launched a strike after demanding that 13–15% of operating profit be allocated to a special bonus pool. Later, following 18 rounds of wage negotiations, the union and management reached an agreement entailing a substantial increase in annual salaries. Meanwhile, the labor union at Naver, another IT firm, secured a significant hike in base pay relatively quickly by refraining from demanding N% performance-based bonuses.

■ Rising labor costs could lead to higher prices

If such trends spread, they could push up wage levels across a broad range of industries, rather than simply resulting in temporary increases in performance-based bonuses at highly profitable companies. While firms remain cautious about introducing N% performance-based bonuses, labor unions are leveraging calls for such schemes in wage negotiations, and as noted above, there have already been cases in which negotiations surrounding performance-based bonuses have resulted in increases in base pay. If the high levels of compensation paid in the semiconductor and IT industries are emulated by other sectors, upward pressure on wages could spread more broadly. This is particularly likely in industries where competition among companies to attract talent is intense, as the firms are conscious of wage increases by other companies and tend to follow suit to stay competitive in the job market. If such wage competition continues, wage hikes at highly profitable companies could lead to similar moves at firms whose earnings environment is far less favorable.

<Service-sector Wages and Prices (YoY change)>



Source: Prepared by JRI based on data from CEIC

There is a danger of widespread wage rises intensifying inflationary pressure by pushing service prices higher. Wage increases that are not accompanied by productivity gains squeeze corporate earnings as they push up labor costs, which creates an incentive for companies to raise selling prices. This is particularly significant in South Korea's service sector, where labor productivity growth has remained sluggish for many years, leaving companies with limited scope to absorb wage increases through productivity gains. Indeed, in previous periods of rising wages in the service sector, service price inflation has tended to accelerate, so the situation will need to be watched closely.

(Thoma Imagawa)